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**6. For closing indirect expenses and losses, i.e., items that appear on the debit side of profit and loss account**

| Particulars | | Debit ` | Credit ` |
|---|---|---|---|
| Profit and loss A/c | Dr. | xxx | |
| To Office expenses A/c | | | xxx |
| To Administration expenses A/c | | | xxx |
| To Selling expenses A/c | | | xxx |
| To Distribution expenses A/c | | | xxx |
| To Financial expenses A/c | | | xxx |
| To Provisions A/c | | | xxx |
| To Depreciation A/c | | | xxx |
| To Other indirect expenses and losses A/c (individually) | | | xxx |
| (Closing of various items by transferring them to profit and loss account) | | | |

**7. For closing the indirect incomes, i.e. items that appear on the credit side of profit and loss account**

| Particulars | | Debit ` | Credit ` |
|---|---|---|---|
| Discount earned A/c | Dr. | xxx | |
| Commission earned A/c | Dr. | xxx | |
| Other indirect incomes A/c (individually) | Dr. | xxx | |
| To Profit and loss A/c | | | xxx |
| (Closing of various items by transferring them to profit and loss account) | | | |

**8. For transfer of net profit or net loss to capital account**

**(a) For net profit**

| Particulars | | Debit ` | Credit ` |
|---|---|---|---|
| Profit and loss A/c | Dr. | xxx | |
| To Capital A/c | | | xxx |
| (Transfer of net profit to capital account) | | | |

**(b) For net loss**

| Particulars | | Debit ` | Credit ` |
|---|---|---|---|
| Capital A/c | Dr. | xxx | |
| To Profit and loss A/c | | | xxx |
| (Transfer of net loss to capital account) | | | |